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Vanessa A. Countryman, Secretary
U.S. Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-1090

Re: Proposed Amendments to Permit Semiannual Reporting on Form 10-S in Lieu of Quarterly Reporting on Form 10-Q, and Related Amendments to Regulation S-X

Dear Ms. Countryman:

I write to oppose the Commission's proposal to permit reporting companies to satisfy their interim reporting obligations under the Securities Exchange Act of 1934 by filing semiannual reports on a new Form 10-S in lieu of quarterly reports on Form 10-Q, and to oppose the related amendments to Regulation S-X that would accommodate semiannual reporting and relax the rules governing the age of financial statements. While I appreciate the Commission's stated goals of reducing compliance burdens and discouraging short-termism, I do not believe the proposal achieves those goals at an acceptable cost to investors, market transparency, or price integrity.

I. The proposal materially reduces the information available to investors.

Quarterly reporting has been a cornerstone of U.S. public-company disclosure for roughly half a century. Moving to a semiannual baseline would cut the frequency of comprehensive interim financial disclosure in half, doubling the period during which investors must make decisions without updated audited-quality financial information, management's discussion and analysis, and disclosures about emerging trends, risks, and liquidity. A six-month information gap is a long time in modern markets. During that interval, material deterioration in a company's financial condition could go undisclosed in any comprehensive form, widening the information asymmetry between corporate insiders and ordinary investors. That asymmetry is precisely what the federal securities laws were enacted to reduce.

II. Current-report obligations are not an adequate substitute.

The Commission may suggest that reports on Form 8-K will fill the resulting gap. They will not. Form 8-K is episodic and event-driven, capturing discrete triggering events rather than the integrated financial picture and narrative analysis that a periodic report provides. Many important trends—gradual margin compression, deteriorating receivables, rising leverage, or softening demand—do not map cleanly onto any enumerated 8-K trigger and would simply go unreported for six months. Relying on 8-Ks to compensate for less frequent periodic reporting would either leave investors underinformed or force a significant expansion of 8-K obligations that would erode the very cost savings the proposal is meant to deliver.

III. The empirical case for reduced short-termism is weak.

The proposal's premise that less frequent reporting will meaningfully curb short-termism is not well supported. Studies of markets that moved away from mandatory quarterly reporting, including the United Kingdom, have generally found only modest cost savings and no clear reduction in short-term managerial behavior. Some of that research found troubling side effects, including reduced analyst coverage and diminished liquidity, particularly for smaller issuers. Short-termism, to the extent it exists, is driven far more by compensation structures, earnings guidance practices, and investor expectations than by the statutory cadence of periodic filings. Reducing disclosure frequency is unlikely to address the underlying behavior while predictably reducing the information investors receive.

IV. Optionality introduces comparability and clarity problems.

Because the proposal would make semiannual reporting elective, the market would fragment into quarterly filers and semiannual filers. This undermines comparability across companies and over time, complicates the work of analysts and index providers, and risks confusing retail investors who may not appreciate why two otherwise similar companies disclose on different schedules. A filer's ability to switch cadence could itself become a signal that invites speculation, and changes in reporting frequency may coincide with periods when management would prefer less scrutiny.

V. Relaxing the age-of-financial-statements rules compounds the harm.

The proposed simplification of Regulation S-X staleness requirements, while administratively convenient, cuts against investor protection. To the extent the amendments permit older financial statements to be used in registered offerings and other contexts, investors may be asked to commit capital on the basis of less current information. Reduced reporting frequency and more permissive staleness rules together compound one another: the financial statements available to the market would be both less frequent and, when used, potentially more dated.

VI. Conclusion.

The modest and uncertain compliance savings the proposal offers do not justify the reduction in transparency, the wider information gaps, the comparability problems, and the documented risks to coverage and liquidity for smaller issuers. For these reasons, I respectfully urge the Commission to withdraw the proposed amendments and to retain quarterly reporting on Form 10-Q as the baseline interim reporting requirement. If the Commission nonetheless proceeds, it should at a minimum limit any election to a narrowly defined category of issuers, expand current-report obligations to backstop the information gap, require clear and prominent disclosure of a filer's reporting cadence and any change to it, and retain meaningful limits on the age of financial statements used in capital-raising transactions.

Thank you for the opportunity to comment. I would be pleased to provide further information.

Respectfully submitted,

Jeo Kirchner
CFO, Kirchner CFO Services